

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit www.djreprints.com.

<https://www.wsj.com/articles/broadcom-profit-surges-in-first-report-after-qualcomm-deal-withdrawal-1521147920>

TECH

Broadcom Profit Surges in First Report After Qualcomm Deal Withdrawal

The chip maker booked a one-time benefit of nearly \$6 billion tied to the U.S. tax bill

By Maria Armental

March 15, 2018 at 5:05 pm ET



Broadcom formally withdrew its unsolicited bid for U.S.-based Qualcomm and its slate of nominees to Qualcomm's board on Wednesday. MIKE BLAKE/REUTERS

Broadcom Ltd., $\text{AVGO } -0.74\%$ ▼ the Singapore-based company that spent much of the past four months attempting to acquire fellow chip maker Qualcomm Inc., on Thursday said quarterly profit surged as it booked a one-time benefit of nearly \$6 billion tied to the U.S. tax overhaul.

The company, which is in the process of moving its headquarters to the U.S., formally withdrew its unsolicited bid for U.S.-based Qualcomm and its slate of nominees to

Qualcomm's board on Wednesday. The move followed President Donald Trump's order for Broadcom to walk away after a U.S. panel that vets foreign deals said Broadcom's ownership could threaten Qualcomm's innovative prowess and, by extension, the U.S.'s clout against China and its tech juggernaut, Huawei Technologies Co.

In the most recent period, which included an extra week and contributions from Brocade Communications Systems, sales in Broadcom's wireless-communications unit surged 88%, overcoming wired infrastructure as its largest segment by revenue.

Overall, first-quarter profit surged to \$6.23 billion, or \$14.62 a share, from \$239 million, or 57 cents a share, a year earlier. Excluding the tax-law impact and other items, profit rose to \$5.12 a share from \$3.63 a share a year earlier.

Net revenue, including certain acquisition-related adjustments, rose 28% to \$5.33 billion.

Broadcom had said in January it expected to report adjusted profit of \$5.10 a share and \$5.3 billion to \$5.35 billion in revenue.

Analysts expected adjusted profit of \$5.04 a share on revenue of \$5.32 billion.

For the current quarter, Broadcom still expects about \$5 billion in adjusted net revenue.

"We expect to sustain top-line momentum with strong data center demand for our networking and enterprise storage products, and a seasonal recovery in broadband access, to offset a sharp seasonal decline in wireless," CEO Hock Tan said in a statement. "Importantly, we expect gross margin to expand and drive free cash flow above our long term target of 40% percent of revenue."

The company, which had been building its cash coffers, ended the quarter with \$7.08 billion, down from \$11.2 billion in the previous quarter. That was more than twice the

amount of cash it had reported as of the third quarter.

Meanwhile, Broadcom reported \$17.48 billion in long-term debt, up slightly from the previous quarter.

Shares closed up Thursday at \$267.76, up 19% over the past 12 months.

Write to Maria Armental at maria.armental@wsj.com

Maria Armental covers private equity for The Wall Street Journal, with a focus on tech and health. Her coverage examines a wide-ranging and influential industry and some of its top dealmakers.

Before joining the Journal, Maria was a reporter for the Providence Journal....

Follow



